

Making a strategic selection

Effective innovators choose projects on the basis of clear ground rules. Use techniques and structures to help you in the selection process, and make sure these are flexible enough to help monitor and adapt projects over time as ideas become concrete innovations. If a project doesn't perform, you should have mechanisms in place either to rethink it or scrap it altogether.

TIP**SET CLEAR
DECISION
CRITERIA**

There are plenty of opportunities for innovation, so make sure you have some clear decision criteria to help choose the best options.

Analyzing the options

Strategic analysis is about gaining strategic advantage through innovation. It means making sure you know where you are in terms of overall strategy. And it means knowing what you can realistically make happen—what knowledge, experience, and resources can you bring to bear? If you are an ice-cream salesman, then moving into nuclear power to capitalize on growing energy demand may be a nice idea, but not feasible. But moving into a new range of food products that could be delivered door-to-door would build on your experience and knowledge and be a good bet.

Choosing projects

When considering a potential innovation project, there are three important questions to ask: First, does the idea have promise—does it have achievable potential to improve your organization? Second, is it a good fit with your wider business strategy? There is no sense pursuing an innovation to improve a product strand that is being phased out, for example. An idea should also be considered looking at risk and reward in your overall innovation portfolio. Finally, does the idea build on skills and resources that your organization possesses and can take advantage of? And, if not, can you obtain the knowledge and expertise required to make it work?